The Social Radars

S2: Dimitri Dadiomov, Co-Founder & CEO of Modern Treasury

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Jessica: I'm Jessica Livingston and Carolynn Levy and I are the Social Radars. In this podcast, we talked to some of the most successful founders in Silicon Valley about how they did it. Carolynn and I have been working together to help thousands of startups at Y Combinator for almost 20 years come be a fly on the wall as we talk to founders and learn their true stories. Today we're talking with Dimitri Dadiomov of Modern Treasury, a startup Y Combinator funded in 2018. Dimitri works in a very important world whose existence is hidden from most people, the movement of money into and out of companies. Listen in as we follow the money.

So Carolynn, I'm so excited. We are here today with Dimitri Dadiomov, who is the co-founder and CEO of Modern Treasury who Y Combinator funded in the summer 2018 batch. Hey Dimitri!

Dimitri: Hey. So great to be here.

Jessica: Welcome.

Dimitri: Thank you.

Jessica: Oh, we're so glad to see you and can't wait to catch up. I have to share something with you, Dimitri, because I got such a kick out of it. Carolynn, you don't know this story, but Dimitri and I go back to the winter of 2006. He was a student at Stanford University, an undergrad, and he was president of Bases, which is their sort of undergrad entrepreneurial society there and Y Combinator. This was our first winter batch and we were going to host a startup school, the first startup school we did at Harvard in the fall of 2005. And we thought, well, let's do it on the west Coast. We'll do it at Stanford right down the road from our offices. So we reached out to Dimitri and he was like, we'd love to work with you on this, and so I have an email from February 7th, 2006 from you and you say, *Hey, Jessica, I submitted the form to get a room reserve for startup school, now we just have to wait.* Then this is the funny part, you said, *could you email me anything with official looking information about it so that I could show them that this is legitimate last year's agenda you showed me is good. Any kind of other info is great. I just need to show them that this is not out of the blue and that this will happen.*

Carolynn: A dearth of legitimate materials would probably characterize that era.

Jessica: I know we were so unknown that he needed something that made us seem legit.

Dimitri: I think there was only one batch. Do you remember who introduced us?

Jessica: Was it Sam Altman?

Dimitri: It was Sam, yeah. And I think he had done the very first batch and then I think this was about to be the second batch in the winter in Mountain View. So yeah, super early.

Jessica: It was super early, but I just was amused at how unknown we were.

Carolynn: What did you manage to rustle up to send him in the response?

Jessica: Gosh, I don't know. I think I said, sure, I'll send you something. And then I don't know. What I found, the only thing I could have possibly wrestled up was we were in a Harvard University school newspaper for the startup school event, but that was it. There was nothing to wrestle up because there were no news articles otherwise about Y Combinator. No letterhead, I don't know.

Carolynn: No nothing.

Jessica: No. I mean, I had a business card maybe, but anyway, we did have the event at Kresge Auditorium. I loved working with Dimitri back then. We had a lot of fun, didn't we, that time?

Dimitri: We did. And I still remember the very first startup school was such a magical electric kind of moment to have everybody show up on campus. It was at this auditorium called Kresge. That's no longer even around. But yeah, it was super fun.

Jessica: I hadn't realized myself that we actually go back to 2006, early days. So anyway, I thought that was amusing. Many years go by and we fund you in 2018 with Y Combinator. But first I want to quickly go in here to remembering you graduated from Stanford. You had a few various jobs, which I'm actually going to ask about later, but then you start working for Lending Home.

Dimitri: That's right. In 2015

Jessica: In 2015, yes. Online marketplace for residential mortgages. So Sam and Matt were working at Lending Home, and you noticed that there was this huge need that was causing you guys pain. So tell me about the moment when you decided to start a company or what caused you to go over the edge and be like, we need to solve this problem?

Dimitri: Yeah, I was a product manager running the investor side of this marketplace, and so the beginning was we really had to build the user flows for individual investors to come in. And this was mostly fix and flip kind of renovation loans. So we jokingly would call it internally like *Ugly Airbnb*. It was a little bit like Airbnb, but every property had some sort of water damage or some sort of issue with it that people were buying and renovating and putting out of the market, and that's what you're investing in. That was sort of the value that you'd get by investing in it. And so we built out the user flows. We built out how do you open an account? We built out all the pieces around how you upload, bring funds into the wallet. And then it became really painful as it scaled because we had to integrate with banks for ACH debits, for ACH credits, for wires, for reconciling all of this stuff, and for being able to update the statement in the right time when funds actually arrived.

And this is a problem that a lot of investment groups might have, but they are doing it at a scale that allows them to just sort of refresh the bank portal and see when the funds arrived. We were doing 50, 60, 70,000 payments a month. And so you can imagine that this gets pretty painful. And then the thing that I also didn't quite appreciate was every part of the company would come to us with questions about something payment related. And so this was finance, this was capital markets, this was customer service. Somebody calls and asks about a payment that maybe should have gotten there or maybe it's a day late and people would show up with bank statements highlighted in yellow and just say, what is this? What is this? What is this? And I had this meeting on Wednesday I just hated, and that feeling when you wake up in the morning, and it was the opposite feeling that I had this morning when I woke up of being excited for this podcast.

It was very different to wake up and be like, I'm going to go into this meeting and we're going to have everyone in the company ask us questions about these bank statements. And so I started kind of running around just asking friends of friends who worked at different companies and asking them like, *Hey, you guys move money as a core part of your product. How do you guys do this?* And I went to all the companies that you can think of that were in the Bay Area that moved money. So whether it was Uber and Airbnb and Coinbase and AngelList and a lot of different companies that the purpose is different, but at the end of the day, ACH is ACH, a wire is a wire. And instead of saying, oh yeah, there's this tool that you should just use and it's great and it makes it very easy, all of them said, *oh my God, I have a Thursday meeting and I really hate that and if you find anything, let me know.*

We joke sometimes it was rage founding. It was just like, oh my God, how's nobody solved this? It's so obvious. It's just like when you see it enough times and you realize that every one of these companies has a payments engineering team, has a finance team as an ops team that are dealing with this manual drudgery day in day out, and this is the kind of thing that computers should be good at. So that kind of led us to say, huh, I think we should probably build this as a product. Nobody else seems to want to.

Jessica: And you guys were naive enough maybe to do it.

Carolynn: Yeah, enraged enough.

Dimitri: We just saw it. We just saw in enough places that it just, it's a little bit of that schlep blindness essay that PG has of just like, somebody needs to do this.

Jessica: Yes, schlep blindness.

So that's interesting. If you had this own really big pain point, but then you talk to colleagues if you will, in other companies, and they had the exact same thing and no one had a good solution.

Dimitri: That's right.

Jessica: So you saw the opportunity. Let me do one thing just because this is a sort of a FinTech company and I want to make sure the audience understands what you do. I mean, I know it's like an API to move and reconcile money, but when I asked Paul, *Hey, how would you describe what Modern Treasury does?* He said it's financial plumbing for companies. And I feel like maybe I could just ask you, can you just very simply describe what Modern Treasury does?

Dimitri: Yeah, Modern Treasury is a software platform to help money movement. So when you think about money movement, it's a very core, almost definitional reasoning for why companies exist. And we have a banking system that has its own legacy technology. And so it's actually pretty complicated. We think about every payment we think will start to end in software and that connection between software systems, web apps, mobile apps, whatever it might be that has some sort of button that says, after you press this button, money should move. And connecting that into the banking system is quite painful. And so part of it is about how do you translate and instruct a signal to the banking system? And then the other piece of it is the reconciliation piece, which is once you've done that, what happened? If you think you paid somebody, you want to get the notification that the money actually moved and confirm that and then know that you don't have any issues. A lot of that kind of financial plumbing is exactly that. It's the connection between the financial banking systems that everything runs on and whatever fun thing somebody wants to go build. It can be pretty painful, especially at scale. It's one of these things that you can do by hand. Once you can do it twice, you can do it 10 times. At some point it's going to break. And at some point you need automation.

Jessica: It was at Lending Home, you were just doing so many, it became impossible to sort of manually reconcile.

Dimitri: That's right. And it's a good problem to have, but it's a real problem.

Jessica: Right. Okay. So you guys think there's a need here. We might be the team to do it. Tell me about how you first started out and how did you convince banks to work with you? Who was your first client? What happened?

Dimitri: Yeah, so we started in the summer of 2018. We started, we got into YC and we started working kind of on both sides of the marketplace, if you will. We have banks on one side and companies on the other. So we started running around and talking to what banks we wanted to work with. Of course, SVB was very much a default bank back in 2018 for every startup that was going through YC. So it was kind of a no-brainer to start working with them. And then we were looking for the right first customer because one of the things that I think is really challenging for a product such as this is that people might smile and nod and say, this is a great product and we can definitely do this in a better way. But overcoming that trust barrier to say, and I'm going to trust a three person startup with nail funding to take over this very critical thing, which is not core to my business. It's not core to an insurance company or to an online marketplace or what have you, to be the best at banking integrations, but it's very critical that it work well.

And so people generally don't want to trust early startups with infrastructure decisions for a long time.

Jessica: How did you get your first client then? How did you do it? I imagine this was a huge challenge.

Dimitri: My first instinct was to go to folks that we already knew, and it took us a long time, but our first client was actually a classmate of mine who had started a company in kind of the health benefit space, a startup. It was three or four people, but they had seen that problem before and they knew they didn't want to build it from scratch, and they knew they were going to have to move a lot of funds around. And so we started working with them and SVB is their bank. And that was kind of the first connection of the full triangle, if you will, that allowed us to go live. But one thing that's interesting is it took us about five or six months to go live. By the time we ended YC, we were not that company with a graph that went up to the right. Our graph was flat the entire time because we were still, I mean, part of it was still building the product, but part of it was also that it took a while to get people to really feel comfortable that, hey, we're actually committed to this and we're really going to be around and do this for a long time. That even folks that were prime to trust us actually trusted us to power their companies.

Carolynn: Did you get SVB to agree to work with you before you actually got that first customer?

Dimitri: Yes and no. I mean, in a sense that at the end of the day, we are a software product that lives inside the envelope of a company.

And so I remember sitting actually at this desk, but in a different place, sitting with the founder of this company that has mentioned, and we were kind of calling us to be one off, and he was saying, I just want you to work with this vendor that we work with. And I would call him five minutes later separately and tell him, I'm just trying to make our mutual customer happy and trying to get it live. And so we knew we had built a little bit of this at Lending Homes, so we actually knew quite a bit about how systems worked, and so we were able to have pretty sophisticated conversations with the banks pretty early on, I would say.

Jessica: That must've made a big difference, Dimitri, your level of sophistication, even though you were relatively young, you weren't right out of college, never having worked in this industry. So that level of sophistication, understanding how things work must have impressed them or given them some confidence a little bit, don't you think?

Dimitri: Yeah. Yeah. The thing that was amazing is actually, so we went live in October of ‘18 with this first company, and literally a month after we started getting introductions from the banks to companies. And then by that time we were live with First Republic in Wells Fargo as well. And we started getting introductions to individual companies who were coming to the banks and saying, *we wanted to go build something.* And they were having a hard time because on the bank side, they've seen this move before, so they've seen somebody being really excited about it and then have a hard time actually pulling together the resources and the know-how to actually kind of automate this. And here was this company with three people that they didn't think was going to be live in there, live two weeks later, because they used our product. It wasn't like a big formal partnership that came later, but it was on an individual level, we certainly had a few champions.

Jessica: That's fascinating. Actually, you helped get the bank's clients spun up more quickly because of what you were offering. Is that right?

Dimitri: Yeah. And we charged the companies, we didn't charge the banks anything, so it was a good deal for them.

Jessica: Yeah, I'll say, oh, that's interesting. Do you think it helped at all that you were a Y Combinator funded company? Did that come up at all with SVB?

Dimitri: I'm sure it did, yeah. They had a practice for early stage practice, early stage companies, and being a YC company was certainly an added bonus to be taken a little bit more seriously or maybe get a little bit more leeway in talking to the product people at the bank that they maybe would've guarded a little bit more otherwise.

Jessica: Did you go to the original companies that you spoke with to sort of understand the need and say, Hey, remember when we had that conversation? Well, here you go. Will you be one of our first users? Did you ask them?

Dimitri: You know what's amazing? I got an email this morning from a company that we talked to in July of 2018, and it's from a COO of this company in New York that we had been introduced to by an investor friend. And it starts, I think it's like I've been following you for five years. I think it's time we see this quite a bit for good or for bad. I think sales cycles can be pretty long, but we joke sometimes that if we're around long enough, everybody will be a customer because it's a problem that everybody has at some level.

Jessica: Wow.

Carolynn: Wow. How long did it actually take to build because this is something that nobody else wanted to build. And everyone was like, *ugh, this is a huge problem, but I'm not going to do it.* How long from when you started to when you actually had that first customer?

Dimitri: Five months.

Carolynn: Five months.

Dimitri: But I think the thing is we had built this version of this before, and so one of the challenges of understanding how to build this and why it takes a long time oftentimes is that you really need to understand how payments work at a very basic level at the Federal Reserve and so on. So there is this 600 page nacho book, and it's all the rules and regulations around how a c h happens, and there's all these weird edge cases that you end up having to think about. And I remember one of the first photos I have is of Sam who had ordered this book, and we jokingly sent it to our WhatsApp group with our group partner saying, this is our first use of funds, we spent $129 or something? It was like, yeah, it was not that expensive. It was one of those things that you really need to understand. So for example, later on, this was maybe a year after that, we ended up kind of at the top of Hacker News with a post that Matt wrote, which was "What happens when you ACH a dead person?" Because there's specific rules and regulations around what happens to banks and how the banks communicate some of these diseases and the account is closed, and it's one of those things that you don't think about as that actually happens, but at the scale of the banking system, it happens. And so you end up with a lot of edge cases. And so yeah, it took us about five months to build it. We built the API and the app at the same time. As much as we all want automation, nothing is ever going to be perfectly automated. So there's always going to be edge cases and things that people have to do by hand. And so from the get-go, we're building the app as well, but it probably would've taken us longer if we had to learn all this stuff from scratch.

Carolynn: For sure. And then how many you were, of course, three back then. How many employees do you have now?

Dimitri: 170.

Carolynn: That's a good size.

Jessica: Wow. I did hear a podcast that I listened to, a FinTech podcast that you were on, and you were saying, yeah, we weren't the typical YC company. It took us five months to launch! We didn't launch during YC. I mean, you've built a really complex product. Of course it's going to take you longer, and investors must have understood that, right?

Dimitri: I distinctly remember one of the Tuesday get-togethers with our group, and we hadn't had any progress that we could demonstrate at all. And we said something like, *oh, we also opened a First Republic Bank account.* And I just remember Aaron Harris being like, you guys are awfully sure this is going to lead to something. And we were like, yeah, we think it will. But it took us a long time before we had demonstrable progress other than, well, we wrote some code and we talked to some people. It took a long time. Looking back on it, it maybe doesn't seem that long, but at the time it felt like forever.

Jessica: What was the first feeling of a real win that you would've been really psyched to report at your weekly group meeting? Do you remember one of those? *Oh my gosh. We got this to work and we weren't sure if we were going to.*

Dimitri: It was less about getting something to work and more about having validation from people and companies. One I remember is we signed an LOI with a company that was moving billions of dollars a year, and it didn't mean that much because obviously it wasn't a contract, they weren't going to necessarily commit to doing it, but they basically said, this is really a true problem, and we have a lot of people working on it. And so if you can deliver a better product at a lower price than it takes us to deliver it, otherwise we would certainly consider it and do it. And so that was a big win for us.

Jessica: I think LOIs are a big win, don't you, Carolynn?

Carolynn: Well, they have to turn into real contracts, but yes, absolutely. Did that one turn into a real contract?

Dimitri: No, not yet. Not yet. Not yet. Not yet.

Jessica: Shoot. Oh no. Oh my goodness.

Carolynn: Five more years will go by and then it will, right?

Dimitri: Yeah, exactly.

Jessica: Oh my gosh. Okay. So don't be offended when I say this, but you are solving a very important but very unsexy problem that most people don't think about, and even the people that are supposed to be thinking about it probably aren't prioritizing it until there's a problem, until there's a possible disaster. And I want to talk about last March, and I want to talk about, when was it, I think March 10th or something when Silicon Valley Bank was basically shut down and everyone who had their money in there, their money was frozen. I want you to take me back to that weekend. I remember I followed it very closely and nervously as you can imagine. But what was your world like? And tell me some stories about that. Did you see this coming?

Dimitri: So three or four years went by. We've grown a lot. We're 170 people. We have dozens, maybe a hundred plus companies that were deeply integrated with SVB. We at this point work with about 30 banks, and so they're not the only bank that we are focused on, but it's still a very important bank, especially for, of course, the early stage clients that we have. So before the weekend, even on that Wednesday/Thursday, I started getting texts from investors and folks saying, *Hey, just checking how many of your phones as the company are sitting at SVB.* And I started getting enough of those where I was like, huh, if a lot of these hit every single founder, and of course maybe we're more connected to banks, people thought we knew a little bit more, but chance the question, no, we didn't see it coming.

I mean, I think that it's something that nobody really saw coming to the degree that it happened and how quickly it happened, and we can talk about what contributes to that, but bank runs are pretty rare. They used to not be rare. And then we introduced a lot of regulatory things that made them a lot more rare, and so you don't really expect one to happen. And then all of a sudden we started seeing a lot of people withdrawing funds, and I started getting just a lot of people asking for advice. I mean companies that weren't even necessarily customers of ours or using our products or what other banks to talk to. They wanted introductions, things like that. SVB has been a really, really good partner for us. I think they were such an important player in this ecosystem. And so we sort of focused on making sure that our existing customers had a plan B, something happened, but really weren't trying to incite more worrying to the system.

But then on Friday morning, the FDIC stepped in and basically shut it down. And so then it sort of became very real because now you had all these companies, and much of it has been in the media around payroll, which of course was, there's personal ramifications for the employees, for the directors, legal ramifications for the directors. All companies of SVB were worried about that. But we had the added complexity that there's companies that run payroll using Modern Treasury or they run benefits or they run things that are just again kind of critical to their business. And so we were doing a lot of introductions, so one of the things that we realized probably that Friday night is we had one view that was unique. So there's a lot of people pontificating on Twitter. We actually had something to add to the conversation that was a little bit unique in that we were connected to all the systems, all the payment systems across the various companies that we worked with.

So we put together a status page and we put together a page where we would just update every couple hours, here's what's happening to ACH, to wire, to reporting to international wire. What's happening is, if you want to send a wire internationally, you have to go send it through a correspondent bank. Oftentimes it became something that was being spread around because there's so much uncertainty and so much worry about what was happening all through Saturday. We're working through the weekend, we're working with companies. Sometimes we're introducing them to other banks, sometimes they had other bank accounts that they were open already, but they hadn't actually set anything up. So they're trying to rebuild some of their flows. And then Sunday night, Signature Bank, which is another bank that we supported also goes into receivership. And so we're like, we got to template.

We can go build the status page for Signature Bank. And so we went ahead and did that as well. And then of course, I think the regulators did a really good job in the sense that by Monday morning, they had figured out how to prop up the bank in a way that wasn't actually that disruptive. So Monday morning there's a lot of trust that was shaken, but in terms of actual money movement, everybody was able to move money through the systems that SVB had. We were monitoring them as they're coming back online. Some things came back faster than others. And so yeah, it was a very kind crazy thing to live through because there's so much uncertainty for every client and everybody has a slightly different setup. What other bank do you have? What are the ramifications for you of moving or not moving faster? And it was a pretty wild thing to live through, but also a pretty privileged place to just get to see this kind of historical event unfold.

Jessica: In terms of financial hygiene, what was a client of yours who had everything set up perfectly and could handle this potential disaster with ease versus an ill-prepared company caught with their pants down basically?

Dimitri: Yeah, such an ill-prepared company, oftentimes they're earlier stage companies. They only have one banker relationship and it takes time to set it up. It's not super easy. So they go set up an account and then they go maybe set up a couple of different accounts at the same bank where they have a payroll and operating account where maybe that's where their equity sitting that they raised. But then they have another account which is for the purpose of their business, and that account is connected to something like Modern Treasury, we're able to connect API calls to reporting, things like that. And so if that company, when that happened, they had no other place to basically run their operations through. So that's one end of it. The other end of it is a company that had set up multiple bank accounts and multiple banks, and for various reasons it's set up Modern Treasury to connect into those accounts.

And that can be, maybe it's different products, maybe there's different regulatory reasons like banks are actually quite heterogeneous in the services they offer. So there's good reasons why you might want to work with multiple banks just at a product level. And so that company was able to basically just say, well, I don't normally do my kind of ACH flows through this bank. I'm going to move it to another bank. But it's sort of an easy thing to do because they've already set it all up and it's working. And then there were companies in the middle that were basically, they had set it up or they opened the account, the account was open, but it wasn't set up. And so they had to go kind of rebuild stuff over the weekend. So maybe an analogy for it is imagine if over the weekend you have to rebuild your website from Amazon to Google Cloud or something, and by Monday morning at 6:00 AM you have to be live on the new one no matter what. And that's a pretty tall order.

Jessica: Yeah. Well, I hope people learned a good lesson is to sort of diversify in terms of the bank.

Dimitri: I think we're seeing that. I think we're seeing a lot of boards I think are asking companies about how many bank relationships and where's the fund sitting and how do we react? But yeah, I think it's something that risk management around banks was not top of mind for anybody and became a little bit more top of mind for companies today.

Carolynn: We're probably going to end up seeing this in stock purchase agreements. It's going to be a new company rep, something about banking relationships. But you're right, this is just not something anyone worried about in the past. We had not seen it in this era.

Jessica: No, it was pretty frightening, especially Y Combinator startups, as you can imagine, had a lot of their money in SVB. I have a question, and I don't know that much about all of this. Do you think one of the reasons the FDIC acted so swiftly was because it really could have triggered sort of a national bank run on regional banks? It wasn't just a technology Silicon Valley issue?

Dimitri: I don't think it was a technology Silicon Valley issue in the sense that other banks had also failed or had other issues. It's not specific to startups. I do think there's something new that hasn't existed before, which is the speed of how fast you can withdraw funds. So if you think about back in the day, back in the twenties or thirties or something, if you found out that you had to withdraw funds, you probably had to go there in person. So there's a certain feedback cycle to how long it takes to show up and fill out the form and stand in line, and you just can't withdraw that quickly. I think today, a few text messages and you open up the mobile app and then you just withdraw everything, that's a really short cycle for banks to be ready for. Whether it's WhatsApp groups, whether it's social media, once that kind of panic sets in, that's a really, really difficult thing to fight. So when you think about it, what that means from a bank perspective, it sort of means you have to have more cash ready to be accessed from the Fed or from other banks or something, than you did before because the speed with which these things can develop is much faster. I think I saw the amount of funding that was withdrawn from SVB on that

Thursday and Friday, and Friday ended at 9:00 AM, so it was really in just one day, it was 42 billion dollars, and that's basically in 36 hours. In 2008, the SVB was the second biggest failure, Wachovia was the biggest one. It took only 40 days to withdraw 10 billion back in 2008.

Jessica: Oh wow.

Dimitri: So just the speed with which people are able to move funds around, you know companies have more money, and so one company deciding to withdraw could be a hundred million dollars, which is not something that we've kind of seen. So I think there is something that's changed a little bit in the banking technology landscape.

Carolynn: That's a lot of liquidity to have to have.

Jessica: That's a lot of liquidity and it's a lot different than the scene from my favorite movie, *It's A Wonderful Life.* The bank run at George Bailey's bank. Do you remember that scene?

Dimitri: Yeah. Yeah.

Jessica: Fun fact. I've never seen that movie.

Jessica: Oh my god, Carolynn. Okay. So wow, the whole SVB thing happened so quickly. I feel like it happened quickly and it was resolved quickly. Was there anything else crazy that you saw within that sort of 72 hours or whatever– any weird behavior? Surprising things?

Dimitri: Well, I think there's a lot of weird behavior on the part of founders and investors and heads of finance and how everybody responds to this type of stressful event. So I think that anything stressful, I think it shows in some cases what people are made of and what's harder, what's easier for folks. But I think one of the things that's really ironic or hard to resolve is when something like a bank run happens, the right answer really on a personal level really is to withdraw the funds. You just don't know what's going to happen. And so I think a lot of people faced, sort of an ethical dilemma of, do I spread the worry and do I contribute to this problem or do I keep my company or my company's portfolio or what have you safe? And it's not obvious to me that either side is in the wrong. I think it's hard. I mean, I think there's a fiduciary duty of what you should be doing once there's more of an issue and things like that. But I think that it's really something that again, nobody's thought of and it just sort of popped up. And then when you start thinking about the implications of what can happen, you realize that you need to go act and sooner is better. Yeah.

Jessica: And maybe the solution is going forward, have a few banks so that you're not thinking, *oh my gosh, this is all of our money. What are we going to do? I have to take it out.* You're sort of like, let's ride this out. Seems like it's going to be okay. We don't need it to make payroll. We can make payroll with the other account.

Dimitri: Yeah, I think you have to run companies in a resilient way, and I don't think anybody thought of it, but payment ops and financial operations, that's an area that you have to think about as well. Obviously you do that from as far as your team and as far as your technology and infrastructure and things like that, but now you have to worry about that from the financial system.

Carolynn: Well, this is a little bit obscure, but have you noticed your customers going towards the big national banks and avoiding the regional ones, just as a precaution, which just sort of leads to this, is that the kind of consolidation that's good for the whole ecosystem if everybody wants JP Morgan and Morgan Stanley and not any of these regional banks?

Dimitri: Yeah, there's certainly been a discussion about let's move funds into the Big Four banks in the US. I think the reality is SVB is such an amazing partner, and I should say they may be, again, we don't know quite what SVB looks like under the First Citizens banner in a few months, but SVB has been such an amazing partner in enabling, I mean, even our story as I shared, we were sort of nobodies and we were able to go partner with this bank and we got introductions to other clients pretty quickly from them. So I think there is an element of being a good partner to Silicon Valley does require a certain unique different mindset. And not to say that the big banks can't have it, but it's not natural to them. It's not something that they've done historically.

Carolynn: That's what I was thinking, there might be this period of nervousness where they really want to be at the Big four and then gradually they're going to miss that. They're going to miss how understanding and how these regional banks really got them. And then maybe they'll come back to some degree. I mean, obviously I don't think those lessons will be undone, but I agree with you. I think people really will want those, again, that part of that regional banking.

Jessica: Dimitri, I have a question about your background that I was just so curious about. I was looking at your application and I saw that after Stanford, you were an entrepreneur in residence somewhere, an analyst at a VC firm, then you got your MBA at Harvard. And I'm curious to know what those things – your MBA, your working at VC firms – how did they prepare you, if at all for what you're doing at Modern Treasury?

Dimitri: Well, I'd worked at a couple of startups. That was actually the bigger part of my background was watching companies from the inside as an employee, watching them scale from 10 people when I joined Better Place, which is an electric car infrastructure company, to about 600 in my left. And so watching all the people stuff is actually the stuff that I think is the most complicated about scaling organizations. And I think watching that was super helpful. A lot of it is pattern matching, it’s just really spending a little bit of time at a venture fund helped me see companies,what does a good company at a certain stage look like and not, what does it look like to pitch a VC? So all of that I think has contributed to us being able to come in and build Modern Treasury up in a relatively smooth way from the beginning because it wasn't the very first time that I'd seen that.

And business school for me was a way to go explore and learn about other industries. And by far, my favorite thing about Modern Treasury is that we get to go power all these companies and get to learn about them and get to help them in all different industries. We're helping companies and healthcare and education and real estate and cyber insurance. And so I think that being sort of a business nerd and just learning about how these things work, and what are the challenges that are different and how are they the same, and how are they different between different industries is something that obviously the business school case method and all that is sort of just that, on steroids. And I think Modern Treasury is a little bit of that on steroids as well. So hopefully that's something that comes through when we're helping companies and actually helping them come up with the right architecture for how to build these things at a very mechanical level, which is where Modern Treasury comes in, where do the funds actually go? But it obviously is much, much more than that.

Jessica: Yeah, it's interesting because a lot of times, and Paul might even disagree with me, I think he'd say, *oh, go start a startup right out of college.* But I feel like if I could tell someone what the ideal timing would be, it would be, go to university, make lots of friends, study lots of things, expose yourself to a lot, and then go into the world and get a little business experience. Ideally work at a startup where you can observe what one is like and all the crazy things that happen. Learn about what problems are out there. If you guys hadn't worked at Lending Home, you might not have felt this pain point.

Dimitri: I think I would agree with Paul. I don't know if you would agree with it, but I think I would agree with him. I've been thinking a lot about what is the difference between intensity and consistency, and which one's more important to be a good founder? And intensity maybe to define intensity, you see intensity where somebody comes in and they're obsessed with this idea and they're very hyped up and that's all they can think about, and that doesn't always last, right? At some point you're sort of over it. And then you see that oftentimes, and we just went through a phase in I think 2021, where a lot of people in Silicon Valley were very intensely excited about technology. And it's like when you look at the people that build meaningful things, it just takes a long time. And you look at what Sam's doing with OpenAI, when you look at something like Elon and Starship, he was working on Starship in 2003 or 2004.

So yeah, of course he brought intensity at certain moments when he was sleeping on the floor of the factory. But he didn't do that for 20 years. And I think the media and journalists often get attracted to the really intense moment. And when you start a company and you want to go build and solve a problem in a big way, you kind of have to have almost consistencies just as important. It's like, how are you going to stick with it for a very long time? And I don't know how you test for that. I don't know how you select for that. I don't know if that matters,

Jessica: It does matter. It is a huge problem. I mean, startups are a very long game, except in the best case scenarios. And in order for a human being to endure such an intense long game, you have to figure out how to make it doable for a 20 year period, 10 years at the minimum.

Carolynn: I would phrase this a similar way with listening to you talk, Dimitri, the huge takeaway here is you're scratching your own itch. You found a problem, you want to fix it. And so I think you don't know when you're going to get itchy right after college because you figured out something that you figured out or five years into your career because you have said, *this bothers me, I want to fix it.* So I think that's why the timing question ends up just being super personal. Can I ask a super random question? This is something I'm really always kind of curious about. So you used to be Turnkey Treasury, or maybe you were just Turnkey for a very short time, but I'm always interested in names.

Dimitri: Yeah. Well, we struggled with the name and we applied as Turnkey Treasury, and we got in and we hadn't incorporated yet, and we just realized that that name has a problem, which is when in YC, oftentimes people refer to teams as the name of the company. It's like the Stripes, it's the Airbnbs. And nobody heard the end. So we were the *Turkeys* and we didn't want to be the *Turkeys*, so we were like, *we do not want to be the Turkeys*. We gotta fix that somehow. And so people just got confused. They're like, why Turkey? What does it have to do with anything?

Jessica: They really said, why Turkey? Why Turkey Treasuries?

Dimitri: Anyway, so we renamed it. We were looking for a name, and Matt was on a flight and he was on instant domain search, just searching for dotcoms that were available for $7 and ModernTreasury.com was available. And we're like, it has a ring to it. It works. And so we got the dotcom and then we renamed the company, or I should say we named the company, it wasn't incorporated.

Carolynn: Super glad I asked that question.

Jessica: Oh, that's so great. I know. I had no idea. That must have been very, was that even before YC started, like you were accepted and then did this?

Dimitri: Yeah, yeah

Jessica: Cause if you were incorporating, it must've been immediately that you're like *we cannot be the Turkeys*. No way.

Dimitri: May 5th or something, and I think it started on June 1st, maybe.

Jessica: Because you are the Modern Treasuries. If I said, *oh, we're going to go see the Modern Treasuries*. What do you like to do when you're not doing work stuff in terms of thinking about longevity? What do you like to do in your downtime?

Dimitri: I love spending time outdoors. So I think a big release for me and a big way to unplug is to just go hiking, go skiing, go rafting, go somewhere that's far away, not in the city, and just spend time outdoors, which being in the Bay Area is a pretty good place for that.

Jessica: Is that a photo of Yosemite, like El Capitan behind you?

Dimitri: It is. It is. Yeah. My sister lives right outside the national parks, and I'm spending a lot of time there. Actually I just went rafting down the Merced River, where it's been such a crazy snow-packed year. The waters, the rivers. Well, the rivers are just so full of water right now. It's like the best time to go. So there's some rivers that are dammed, and so they're planned releases and you can go whenever. But there's certain rivers like the

Merced that are free flowing, and so you kind of have to catch your season like May or something is the best time to go.

Jessica: Really? Are you a good whitewater rafter?

Dimitri: I'm getting decent.

Jessica: How about your sister?

Dimitri: Yeah, the same. We did a Grand Canyon trip in 2019, actually. We'd start MT and we grew to about 10 people. And then we ended up getting an opportunity to go on a private trip down the Grand Canyon, which is two weeks with no cell connection or anything. And I remember being like, *oh, should I do this? Or is this kind of to the consistency point? Is this going to be me just ignoring my duty as a founder?* And I'm so glad I did it because it's one of those trips that's an amazing trip of a lifetime, but it's a good stress test for the team, to make sure that everything's fine. Without me, you don't really need me.

Jessica: I'm kind of curious, what's the future for Modern Treasury? What's next?

Dimitri: Well, we're starting to work with much bigger companies. I think one of the things that is just so interesting is this whole trend of payments starting running in software is only accelerating and a lot of, shall we say, "sleepy industries" are kind of waking up that they need to go revamp some of their software systems. And so we get to be part of some of those conversations. There's a new payment rail coming to the US called FedNow. And so if you think about payments in the US specifically, they're pretty slow. A lot of other countries have much faster payment rails that are real time, they're 24-7, they don't have a three day settlement period. And the Federal Reserve is working on fixing that. And FedNow is this new payment rail that is launching in July. And so when you think about revamping every kind of business or how actual payments happen, there's a huge wave that we are very excited to help companies think through and figure out what's the right way to do it. And the banks as well. The banks have to figure out how to serve customers, the customers have to figure out how to work with banks. Very few people are really thinking about this day in, day out, and especially across all the different kinds of banking institutions that we get to work with. So it's a pretty exciting time in this nerdy world of payments.

Carolynn: I think this sounds like a super interesting time to be in the banking business just because it's stagnated maybe for a while. And then there's just going to be a ton of change, which you guys are in a really interesting position to capitalize on that, and do all kinds of interesting stuff.

Jessica: I know, and I have to say, sometimes I get most excited about companies that are doing this sort of difficult technology. I keep saying it, but unsexy, not consumer-y, but it's so important. So many people need it. I just get super jazzed.

Dimitri: Jessica, I don't know if you remember this, I think you told me a story. This was like you had written founders that work, and I think you were figuring out how to actually fund companies and you were getting the paper checks for the YC investments, and you had to go to the bank to get the paper checks and incorporate when you were just getting started. In some ways, the product bar is not very high. There's ways to improve that.

Jessica: This is embarrassing. But back in 2005, and honestly I feel like we still did it through 2007, we had the regional Cambridge, I forget it was like the Bank of Cambridge or whatever. I set up a retail account for Y Combinator, and had little checkbooks that said Y Combinator, Garden Street, all of that. We'd fund the company, Carolynn, I would help them fill out all of the paperwork to incorporate and assign stock, and then they'd sign the Y Combinator investment docs and I would literally write a check to the company and there would be that carbon copy underneath. So my records were the carbon copy on my little checkbook. I mean, surely that just doesn't seem like the way to do things, but that's how I did it.

Dimitri: The whole carbon copy thing is crazy. I just found out it's such a random, crazy fact. Do you know why when you go to restaurants in the US at least you get two receipts, you get a receipt with all the line items and you get different receipts that you have to sign?

Jessica: Why?

Dimitri: Why would they print twice the paper? So when Visa was started in the 1970s, they were primarily focused on retail stores and restaurants. And remember this was like there was a big chunk machine and there was a carbon copy thing.

Carolynn: Yes, yes!

Jessica: Yes.

Dimitri: So the funny thing about it is they were terrified that restaurants wouldn't adopt Visa because if somebody just literally went through the trash and saw what the best selling items were, they could get the carbon copies and actually know what the best selling items were at every place. That was an actual objection. Remember, this is pre-digital. There's no centralized cloud, anything. So they were terrified that nobody would adopt it. And so they said, we're going to split it in two, and the thing you have to store is this thing that has the signature, but it has no information about what the person bought. And we can throw away the other one that actually has all this confidential information about somebody who ordered orange chicken. That's the reason.

Carolynn: That is wild.

Jessica: Wow.

Dimitri: Yeah. So the next 50 years,

Jessica: I was going to say 50 years later, we're still doing this?

Dimitri: And there's companies that are helping reconcile, get the line items out and try to reconnect it to the thing. And we do some of that. And it's like that's the reason why in the credit card world that has happened.

Carolynn: You could literally walk into a restaurant and say, what does everybody get here? What's your bestseller? And the waitress will tell you, this is the dumbest thing I've ever heard. I can't believe that.

Dimitri: Yeah.

Jessica: This kind of brokenness just leads me to believe there's fertile ground for new companies and new ideas everywhere. Everywhere in this area

Carolynn: Everywhere. Everywhere.

Dimitri: Because nobody revisited it for 50 years. That's such a long time.

Jessica: Well, I'm so happy that you guys are doing so well, and I was fascinated to hear about all the stuff over the SVB weekend. I love the inside scoop about what's going on. Really glad to talk to you today, and thank you for coming on.

Dimitri: Yeah, great to see you.

Carolynn: It was great to see you.

Dimitri: Thank you.

Jessica: Thanks, Dimitri. Bye.

Carolynn: Bye.

Jessica: Carolynn, that was so much fun talking to Dimitri!

Jessica: That was fun. Yeah, he's great.

Jessica: Isn't he great? I can't believe that I've known him since 2006. I'd forgotten that.

Carolynn: Isn't it fun to go back and find these weird old emails of your prior self talking about something that you don't even do anymore?

Jessica: Yes. But it just felt so unreal, and especially how he was like, can you send me something that legitimizes this to the Stanford administration? It's funny though, believe it or not, if I had to tell you in the first five years of YC what one of the biggest pain points for me personally was, it was securing an auditorium for startup school that caused me the most stress.

Carolynn: Yeah, I'm not surprised. Facility rental remains shockingly inconvenient and annoying.

Jessica: Well, it wasn't rental, Carolynn. This is why it was so stressful.

Carolynn: Oh, it was free!

Jessica: It was free! It was free because we couldn't afford it. We couldn't afford an event space like an auditorium like that. So we'd partner with Stanford with one of their undergrad organizations, BASES, which was wonderful to work with. And by the way, we funded 10 past presidents of BASES.

Carolynn: Oh, that's a cool statistic.

Jessica: Yin Yin was one and there were a whole bunch of them. Anyway, so we partner with BASES. They then would, as a Stanford group, would secure the auditorium and then Y Combinator would do all the work basically so that the students wouldn't have to do it. But it was always like a three month wait for the administration to grant the auditorium on the date we wanted. And it was incredibly stressful.

Carolynn: And it sounds like the auditorium doesn't exist anymore. They just ripped it down and built something new?

Jessica: They ripped it down and it was the nicest auditorium. It had 595 seats and perfect, almost floor to ceiling windows. And so the light in this auditorium, it was just a great size and very light filled and very cheerful. I have no idea what's on there now. But anyway, Dimitri and I go way back and we always used to joke, he always seemed a lot older than he actually was. It's true. That's how I remember him as a sort of wiser, wise man and older than his time. But I'm so happy that he did a startup, that YC funded him, and that they're doing so well.

Carolynn: Yeah, it's great. And I was totally sincere. I actually think the banking industry is unsexy, like you said, but I do think it seems like there's just going to be a lot of new different stuff coming up in this industry. And so I think they're sort of perfectly positioned to take advantage of all the changes that are probably coming.

Jessica: Yeah. Well, that was awesome and so great to catch up with him. And yeah, I'll see you at the next C Levy.

Carolynn: See you next time. Bye.

Jessica: Yay, bye.